

1                   **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2                               STATE OF OKLAHOMA

3                               2nd Session of the 60th Legislature (2026)

4   COMMITTEE SUBSTITUTE  
5   FOR  
6   HOUSE BILL NO. 3025

By: Lowe of the House

and

7                               **Pugh** of the Senate

8  
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10                               COMMITTEE SUBSTITUTE

11           An Act relating to schools; amending 70 O.S. 2021,  
12           Section 1-117, as amended by Section 1, Chapter 285,  
13           O.S.L. 2025 (70 O.S. Supp. 2025, Section 1-117),  
14           which relates to general fund expenditures;  
15           precluding school gift, grant, or donation monies  
16           received from being calculated in the general fund  
17           carryover for a certain time period; and providing an  
18           effective date.

19   BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

20           SECTION 1.        AMENDATORY        70 O.S. 2021, Section 1-117, as  
21           amended by Section 1, Chapter 285, O.S.L. 2025 (70 O.S. Supp. 2025,  
22           Section 1-117), is amended to read as follows:

23           Section 1-117.   A.   The general fund of any school district is  
24           hereby defined as a current expense fund and shall consist of all  
            revenue or monies that can legally be expended within a certain  
            specified fiscal year, but shall not be considered as including any

1 money derived from a special building fund levy made in accordance  
2 with the provisions of Section 10 of Article X of the Oklahoma  
3 Constitution, nor shall it include any monies derived from the sale  
4 of bonds issued under the provisions of Section 26 of Article X of  
5 the Oklahoma Constitution. All monies derived from the proceeds of  
6 the school levies made pursuant to the provisions of Section 9 of  
7 Article X of the Oklahoma Constitution shall be placed in the  
8 general fund provided by this section. Expenditures from the  
9 general fund shall be noncapital in nature. All monies derived from  
10 state-dedicated revenue, state-appropriated revenue unless otherwise  
11 provided for by law, and county sources shall be placed in the  
12 general fund provided for by this section. Except as provided for  
13 in subsections F, K, and L of this section, a district shall not be  
14 authorized to make capital expenditures as defined by this section  
15 from the general fund.

16 B. For purposes of this section, state-dedicated revenue shall  
17 be any registration or license fees, taxes, or penalties collected  
18 at the state level and distributed to common school districts.  
19 County sources shall be all funds collected by the county and  
20 distributed to common school districts but shall not include any  
21 funds derived from the building fund levy made in accordance with  
22 the provisions of Section 10 of Article X of the Oklahoma  
23 Constitution or funds derived from the sinking fund levy made in  
24

1 accordance with the provisions of Section 26 of Article X of the  
2 Oklahoma Constitution.

3 C. For the purposes of this section, a capital expenditure  
4 shall be an expenditure which results in the acquisition of fixed  
5 assets or additions to fixed assets. Capital expenditures shall  
6 include, but shall not be limited to, purchases of land or existing  
7 buildings, purchases of real property, improvements of grounds and  
8 sites for construction purposes, all expenditures for construction  
9 of buildings unless authorized by the State Board of Education or  
10 the State Board of Career and Technology Education upon application  
11 to the appropriate state board pursuant to subsection F of this  
12 section, additions to buildings, remodeling of buildings if such  
13 remodeling involves changes to roof structures or load-bearing  
14 walls, professional services, salaries and expenses of architects  
15 and engineers hired or assigned to capital projects except for such  
16 services, salaries, and expenses as are applicable in preparation  
17 for a bond issue, expenditures for the initial installation and  
18 extension of service systems and built-in heat or air equipment to  
19 existing buildings, expenditures for the replacement of a building  
20 which has been destroyed, installments and lease payments on  
21 property including interest that have a terminal date and result in  
22 the acquisition of property, and expenditures for preliminary  
23 studies made prior to the time that authority to proceed with a

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1 construction project is given if authority is received within the  
2 same fiscal year that the expenditure was made.

3 D. Noncapital expenditures shall include, but shall not be  
4 limited to, expenditures for maintenance, repair, and replacement of  
5 property and equipment, initial or additional purchases of furniture  
6 and equipment, direct expenses for maintenance of plant including  
7 grounds, salaries for maintenance of plant including salaries for  
8 the upkeep of grounds, and repair and replacement of building  
9 structures which do not add to existing facilities and which do not  
10 involve changes in roof structures or load-bearing walls and which  
11 are not classified as a capital expenditure by this section.

12 E. The State Board of Education shall adopt and amend  
13 regulations regarding the classification, definition, and financial  
14 administration of funds, accounts, and expenditures in accordance  
15 with the requirements of this section.

16 F. A school district shall be authorized to make capital  
17 expenditures from the general fund to defray the cost of rebuilding  
18 a school building only if a school building or facility has been  
19 destroyed by a fire or natural disaster, such as flood, tornado, or  
20 other act of God, or by an act of a public enemy of the United  
21 States or this state and monies received by the district through  
22 insurance coverage, federal reimbursement, contributions, and  
23 allocation from the State Board of Education from the State Public  
24 Common School Building Equalization Fund are insufficient to rebuild

1 the facility. Capital expenditures from the general fund pursuant  
2 to this subsection shall be limited to an amount necessary to defray  
3 the cost of rebuilding the facility which exceeds monies received by  
4 the school district through insurance, federal reimbursement,  
5 contributions, and state allocations.

6 G. Schools which receive gifts, donations, or state-  
7 appropriated monies for the purpose of capital expenditures or  
8 projects shall place such monies in the building fund, as provided  
9 by Section 1-118 of this title, and not in the general fund. School  
10 districts which receive gifts, grants, or donations of monies for  
11 noncapital expenditures may place the monies in the general fund,  
12 and such monies shall not be required to be used during the year in  
13 which the money was received but may accumulate from year to year  
14 and shall not be considered a part of the general fund collections  
15 until after one (1) year following the year in which the monies were  
16 received when calculating the general fund carryover as provided for  
17 in subsection G of Section 18-200.1 of this title.

18 H. School districts which receive monies from rental, sale, or  
19 lease of buildings, impact aid monies, or grants, gifts, or  
20 donations for capital purposes, whether from state, federal, or  
21 other sources, may place such monies in the building fund authorized  
22 by Section 1-118 of this title or the general fund authorized by  
23 this section.  
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1 I. Any construction of a building included as a capital  
2 expenditure from the general fund of a school district which is  
3 authorized and has had a contractual agreement concerning such  
4 construction executed prior to July 1, 1991, may be proceeded with  
5 and completed as authorized prior to July 1, 1991, as a capital  
6 expenditure from such general fund.

7 J. School districts receiving revenues authorized by Section 9B  
8 of Article X of the Oklahoma Constitution shall be authorized to  
9 make capital expenditures from the general revenue fund no greater  
10 than the amount levied by the incentive millage.

11 K. Upon the approval of the State Board of Education, a school  
12 district shall be authorized to make capital expenditures as defined  
13 in this section from its general fund if:

14 1. A bond issue has been rejected at an election by the school  
15 district electors voting on that question within the current school  
16 year, as certified by the secretary of the county election board; or

17 2. The school district has voted indebtedness at any time  
18 within the preceding three (3) school years through the issuance of  
19 bonds or through approval by voters of issuance of new bonds for  
20 more than eighty-five percent (85%) of the maximum allowable  
21 pursuant to the provisions of Section 26 of Article X of the  
22 Oklahoma Constitution as shown on the school district budget filed  
23 with the State Board of Equalization for the current school year and  
24 certifications by the Attorney General prior to April 1 of the

1 current school year. The State Board of Education shall establish  
2 the rules to administer the provisions of this subsection which  
3 shall include, but not be limited to, specification of a maximum  
4 amount of general fund monies to be used for capital expenditures,  
5 the purposes for which such funds may be expended, and the period of  
6 time in which such funds shall be encumbered.

7 L. Other provisions of this section notwithstanding, a school  
8 district shall be authorized to make capital expenditures from the  
9 general fund if the total assessed property valuation per average  
10 daily attendance is less than sixty percent (60%) of the state  
11 average total assessed property valuation per average daily  
12 attendance and if, for each year in which general fund revenue is  
13 used for capital expenditures, the district has voted the five-mill  
14 building fund levy authorized in Section 10 of Article X of the  
15 Oklahoma Constitution and has voted indebtedness through the  
16 issuance of new bonds for at least eighty-five percent (85%) within  
17 the last three (3) years of the maximum allowable pursuant to the  
18 provisions of Section 26 of Article X of the Oklahoma Constitution  
19 as shown on the school district budget filed with the State Board of  
20 Equalization for the current school year and certifications by the  
21 Attorney General prior to April 1 of the school year. Provided, the  
22 maximum amount of general fund revenue used for capital expenditures  
23 pursuant to this subsection shall not exceed five percent (5%) of  
24 the total yearly revenue to the general fund. Such fund may not be

1 used for capital expenditures for more than five (5) consecutive  
2 years and may only be utilized for remodeling or construction of  
3 classroom facilities and such ancillary facilities to such  
4 classrooms as may be necessary. Provided, further, the  
5 Superintendent of Public Instruction shall certify in writing, prior  
6 to the expenditure of the funds for which provision is made in this  
7 subsection, that such expenditures are in compliance with the  
8 provisions of this subsection.

9 SECTION 2. This act shall become effective November 1, 2026.

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11 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated  
12 03/05/2026 - DO PASS, As Amended and Coauthored.  
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